

Cheap Volatility Into a Live Decision

A note on what a 17 handle prices, and what it does not, twenty hours before the first hike in three years.

THE READING

The S&P 500 closed Tuesday at 7,585.73, down 0.45%, at 17.5% of Hedgeye's 7,551–7,750 band and still below the 7,656 gamma-flip line. Nine of eleven sectors fell. The ten-year traded 5.041% intraday, its highest since 2007, and the two-year made a 52-week high at 4.688%. WTI settled \$105.83, up 4.38%, at 92.6% of its own range.

Against all of that, the VIX closed at 17.19 — the 34th percentile of its year — and MOVE at 83.71, the 39th. Semiconductors were the only index green and finished in the bottom 27% of their range. The Fed decides in twenty hours, under a chair in his first meeting, two days before quadruple witching. The tape is not frightened. It is certain.

WHAT WISDOM WOULD SAY

In *A Treatise on Probability* (1921), Keynes separated the probability of a conclusion from the weight of the evidence standing behind it. Two judgements can carry the same odds and rest on very different amounts of evidence; new evidence raises the weight whether or not it moves the number.

A 17 handle is a price on a probability — that Wednesday lands roughly where it is expected to. It is not a price on how much is known. And the week's evidence has accumulated in the direction of conflict rather than confirmation. Copper was cut to bearish one session after being cut to neutral. Gold sat flat at \$4,294 while the ten-year printed a 2007 high, the pairing that is supposed to be impossible. High yield closed at 78.38, its 52-week low to the cent, while the index is three percent from a high. Bond volatility sits at the 39th percentile with yields at levels not seen in nineteen years; one of those two readings is wrong. The odds have not moved. The weight has, and it has moved the wrong way.

THE RISK IT JUSTIFIES

Nothing that requires Thursday to look like Wednesday. That argues against adding index risk below 7,656 with the market at 17.5% of a band whose floor was cut eighteen points rather than defended. It argues against chasing crude at 92.6% of a range whose ceiling has been raised three sessions running, and against adding to energy that already sits a third of a percent from a 52-week high on a supply story four days old.

It argues for treating protection as underpriced rather than unnecessary: volatility at the 34th percentile, two days before the largest positioning unwind of the quarter, is the cheapest line in the document. Three things would change the answer — the ten-year settling back under 5.00%, high yield reclaiming 78.40, or the index closing above 7,656. Each would add weight rather than move the odds, and weight is the thing worth waiting for.

*How much of your position needs Thursday to look like
Wednesday?*